4. Income Taxes

For the year ended December 31, 2016, the Company had income from operations. Through the utilization of prior operating losses for tax purposes carried forward, the taxable income was reduced to $Nil, accordingly, no provision for income taxes has been recorded for 2016. For the year ended December 31, 2015, the Company incurred net operating losses and, accordingly, no provision for income taxes was recorded for 2015. In addition, no benefit for income taxes has been recorded due to the uncertainty of the realization of any tax assets. At December 31, 2016, the Company had approximately $617,000 net operating losses for tax purposes. The net operating loss carry-forwards, if not utilized, will begin to expire in 2022.

The components of the Company's deferred tax assets/liabilities are as follows:

	As of December 31,	
	2016	2015
Deferred tax assets:		
Net operating loss carryforwards	$ 215,700	$ 215,700
Total deferred tax assets	215,700	215,900
Deferred tax liabilities:	-	-
Net deferred tax assets before valuation allowance	215,700	215,900
Less: Valuation allowance	(215,700)	(215,900)
Net deferred tax assets	$ -	$ -

For financial reporting purposes, the Company has incurred significant losses since its inception. Based on the available objective evidence, including the Company's history of losses, management believes it is more likely than not that the net deferred tax assets will not be fully realizable. Accordingly, the Company provided for a full valuation allowance against its net deferred tax assets at December 31, 2016, and December 31, 2015.

A reconciliation between the amount of income tax benefit determined by applying the applicable U.S. statutory income tax rate to pre-tax loss is as follows:

	Year Ended December 31	
	2016	2015
Expected tax (recovery) at the statutory rate	$ 200	$ (2,200)
Change in valuation allowance on deferred tax assets	(200)	2,200
	$ -	$ -

The Company is subject to taxation in the U.S. and the state of Nevada. The Company currently has no open tax years, subject to audit, prior to December 31, 2013. The Company is current on its income tax return requirements.